Trade Disruptions and Monetary Policy in Asia*

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Abstract

We study how heterogeneously Asian central banks respond to trade disruptions. Building on the policymaker uncertainty methodology of Cieslak et al. (2024), we construct text based indices of perceived uncertainty and policy stance from 1,381 official documents published by ten Asian monetary authorities between 1999 and 2026. We add a trade policy uncertainty topic designed for precision, and we translate the dictionary into Chinese for the People's Bank of China. The indices validate well. Stance scores carry the correct sign in about 95 percent of more than fifty known policy phases, and every major uncertainty peak decomposes into a recognizable historical episode at the sentence level. Three findings stand out. First, trade policy uncertainty in central bank communication is a twin wave that appears in all ten jurisdictions, rising with the 2018 to 2019 trade war and again, more sharply in most cases, with the 2025 reciprocal tariff episode. Second, the same shock produced very different answers. In 2025 and 2026 the Bank of Japan communicated in strongly hawkish terms while the Philippines, India, Korea, Thailand, and China eased, so the dispersion of responses widened dramatically relative to 2018 and 2019. Third, the channel from inflation uncertainty to hawkish policy that Cieslak et al. (2024) document for the Federal Reserve appears in Asia exactly where inflation targeting is operative, and it is absent where it is not. Trade uncertainty, in contrast, reads dovish across the emerging markets.

JEL codes. E52, E58, F13, F42, C55.

Keywords. Monetary policy, trade policy uncertainty, central bank communication, text analysis, Asia.

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1 Introduction

The tariff shocks of 2018 to 2019 and of 2025 to 2026 hit every economy in Asia, but they did not hit them in the same way. For an exporter of electronics the shock arrived as a collapse in external demand. For an importer of food and fuel it arrived as a cost shock. For economies with large external financing needs it arrived first through the currency. On top of that, the region's central banks do not even share a common instrument. Some target inflation with a policy rate, one manages an exchange rate band, one runs a currency board, and one mixes rates with reserve requirements and credit guidance. A single global tariff announcement therefore lands on ten different economies and meets ten different policy technologies.

This paper asks a simple question. How heterogeneous are the monetary policy responses of Asian central banks when they are hit by trade disruptions? We answer it in the most direct way we can think of, which is to read what the central banks themselves wrote. Following Cieslak et al. (2024), we construct indices of policymaker uncertainty from official meeting records, statements, and reports, and we pair them with a text based measure of policy stance. If uncertainty about trade policy shaped decisions, it should be visible in how much of each institution's communication was devoted to it, and the stance language published around the same time tells us which way policy leaned.

The first step of the project is deliberately descriptive. Before imposing a structural model on the episodes, we document what happened. Figures 1 through 3 summarize the policy record itself. Central banks in the region eased broadly in 2019 after an initial pause. In 2025 most emerging markets cut earlier and faster while Japan moved in the opposite direction. A comparison of actual stance with the stance implied by domestic conditions alone suggests that several emerging markets eased by more than their domestic data would have implied, which looks like insurance easing against the trade shock. The rest of the paper builds the measurement apparatus that lets us quantify the perceived uncertainty behind those choices and test whether it lines up with the responses.

Our contribution is threefold. First, we take a methodology built for a single institution with verbatim transcripts and show that it travels across ten institutions, three document classes, and two languages, provided the adaptations are documented and validated. Second, we construct what is to our knowledge the first cross country panel of policymaker level trade policy uncertainty for Asia, with a dictionary designed so that trade policy uncertainty cannot be confused with ordinary discussion of export performance. Third, we provide a set of stylized facts about heterogeneity. Uncertainty rose everywhere in both tariff episodes, yet the stance responses diverged sharply in the second episode, and the strength of the inflation uncertainty channel maps onto the monetary framework of each country in an interpretable way.

We are careful about what the data can and cannot support. The ten corpora differ in kind. Four central banks publish genuine deliberative minutes, one publishes an institutional summary, four publish statements or staff reports, and one publishes deliberation records without any

policy stance because it operates a currency board. Levels of the indices are therefore never compared across countries. All cross country exercises use series standardized within country, and the paper carries a dedicated caveats section that we regard as part of the contribution.

2 Related Literature

This paper sits at the intersection of three strands of work.

The first strand measures what central bankers think by reading what they say. Cieslak et al. (2024) is our departure point. They construct topic specific uncertainty indices from private FOMC transcripts and show that perceived inflation uncertainty predicts a more hawkish stance, which they interpret as risk management against upper tail inflation outcomes in the spirit of Goodfriend (1993) and Greenspan (2004). The broader text analysis literature on central banking includes Hansen and McMahon (2016), who measure the effects of FOMC communication on markets and macro variables, Hansen et al. (2018), who study deliberation inside the FOMC with topic models, Lucca and Trebbi (2009), who score the hawkishness of Fed statements, Shapiro and Wilson (2022), who estimate the FOMC loss function from the tone of transcripts, and Aruoba and Drechsel (2024), who extract monetary policy sentiment shocks from Fed documents. Work on communication outside the United States includes Picault and Renault (2017) on the ECB, Apel and Blix Grimaldi (2014) on the Riksbank, and, closer to our sample, Bennani (2019) and McMahon et al. (2018) on the communication of the People's Bank of China and Luangaram and Wongwachara (2017), who apply text methods to Thai monetary policy documents. Relative to this literature we contribute scale and comparability. We hold one methodology fixed and run it across ten Asian institutions with documented, validated adaptations.

The second strand measures economic and trade policy uncertainty from text. Baker et al. (2016) launched the newspaper based economic policy uncertainty index, and Davis et al. (2019) built the Chinese counterpart from mainland newspapers. Caldara et al. (2020) construct firm level and aggregate measures of trade policy uncertainty and show that it depresses investment, while Handley and Limão (2017) identify the investment and entry effects of trade policy uncertainty around accession episodes, and Fajgelbaum et al. (2020) and Amiti et al. (2019) quantify the incidence of the 2018 to 2019 tariffs. Husted et al. (2020) measure monetary policy uncertainty from newspapers, and Caldara and Iacoviello (2022) measure geopolitical risk. Our indices differ from all of these in whose uncertainty is being measured. Newspaper indices capture the anxiety of journalists and the public. Our indices capture the uncertainty that monetary policymakers themselves chose to put on the record in the documents that accompany their decisions, which is the object that should matter for their reaction functions. Bloom (2009) and Bloom (2014) provide the broader case for why uncertainty matters for activity, and Jurado et al. (2015) for its measurement from forecast errors.

The third strand studies monetary policy in Asia and in emerging markets under external

shocks. Filardo and Genberg (2010) survey inflation targeting in Asia. Aizenman et al. (2013) document how the trilemma constrains policy in the region, and Rey (2015) argues that the global financial cycle turns the trilemma into a dilemma, which is one reason exchange rate and capital flow pressure can force emerging market rates to move with external conditions rather than domestic ones. Obstfeld (2015) and Ha et al. (2019) discuss the transmission of external shocks to emerging markets and the room their central banks have to respond. The 2018 to 2019 trade war generated a body of work on spillovers to Asia, and the policy record itself shows several central banks citing trade tensions when cutting rates in 2019. We add to this strand a measured, comparable record of how much trade uncertainty each Asian monetary authority acknowledged and what its stance language did at the same time, for both tariff waves.

3 Two Tariff Episodes, Ten Policy Responses

We begin with the outcome we ultimately want to explain. The three figures in this section come from our companion tariff response comparison note and summarize the observable policy record in the two episodes. We define the first episode as 2018 to 2019, covering the Section 301 actions and the escalation of United States and China tariffs, and the second episode as 2025 to 2026, covering the reciprocal tariff announcements of April 2025 and the negotiations that followed.

Figure 1 shows cumulative policy changes in event time on a common monthly grid. Two patterns are visible. The 2018 to 2019 episode produced a broad easing drift after an initial defensive pause, with only modest differences in timing. The 2025 to 2026 episode is different. Most emerging markets cut early and cut faster, while Japan tightened through the episode, so the region's policy paths fanned out rather than moving together.

Figure 2 plots the actual policy paths aligned on the month in which tariffs took effect. The same shock date produces visibly different depths, speeds, and even directions of response across the eleven economies shown. Figure 3 compares the stance implied by domestic conditions alone with the stance actually chosen. The gap between the two is the part of the response that is plausibly attributable to the trade shock. Several emerging markets eased by more than domestic conditions implied, which we read as insurance easing, while Japan tightened through the second episode.

These facts motivate the measurement exercise. Heterogeneous responses to a common shock could reflect different exposure, different frameworks, or different perceived uncertainty. The rest of the paper builds the tools to observe the third element directly.

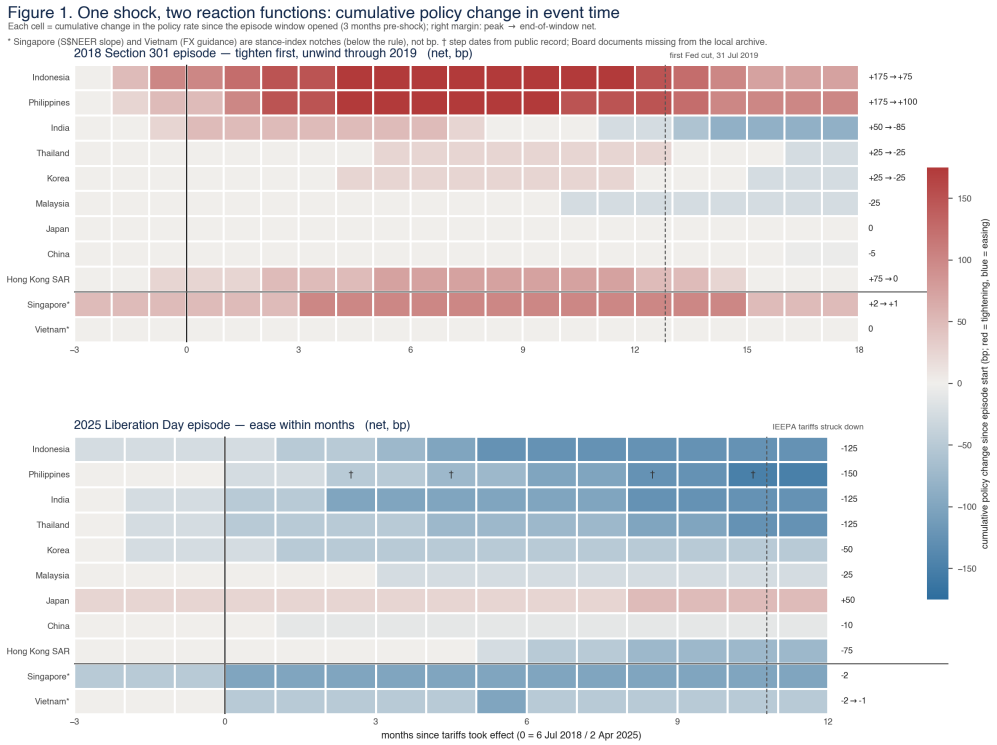


Figure 1: Cumulative policy change in event time. Both tariff episodes are shown on a common monthly grid, with red denoting tightening and blue denoting easing. Source. Authors' tariff response comparison note.

4 Measuring Policymaker Uncertainty

4.1 The approach

Following Cieslak et al. (2024), we construct the policymaker uncertainty index, which we call the PMU, from the words of the policymakers themselves. The premise is simple. When policymakers feel more uncertain about something, they talk about it more. The index therefore measures how much of each institution's official communication is devoted to uncertainty, and about what.

The recipe has five steps. First, each document is split into an economy round, which contains the assessment of conditions, and a policy round, which contains the discussion of the decision. Where minutes have explicit sections we split by section. Where documents are statements or reports without stable sections we classify sentences by whether they mention the policy instrument. Second, we count occurrences of a dictionary of seventy-eight uncertainty terms taken from Cieslak et al. (2024), which we extracted from the published appendix of that paper and verified term by term. Third, each uncertainty mention is tagged with a topic when its sentence, or an adjacent sentence, contains a topic word. We keep the four original topics, which are inflation, the real economy, financial markets, and models, and we add two topics of our own,

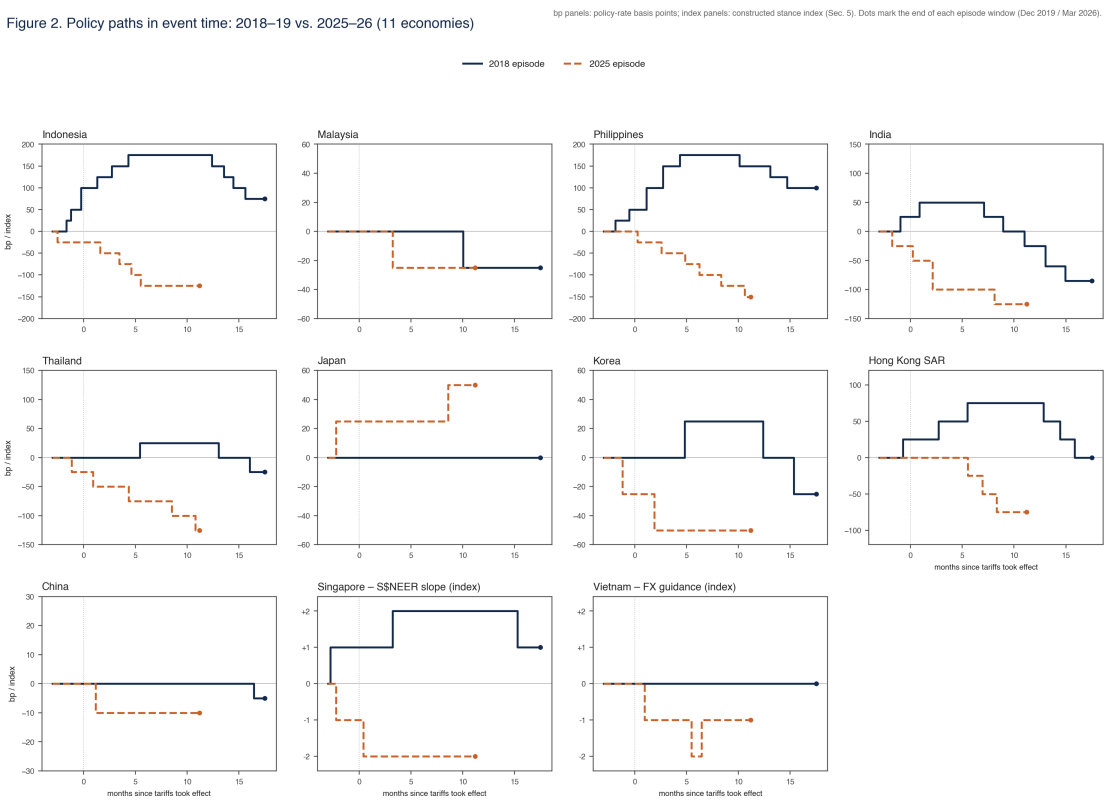
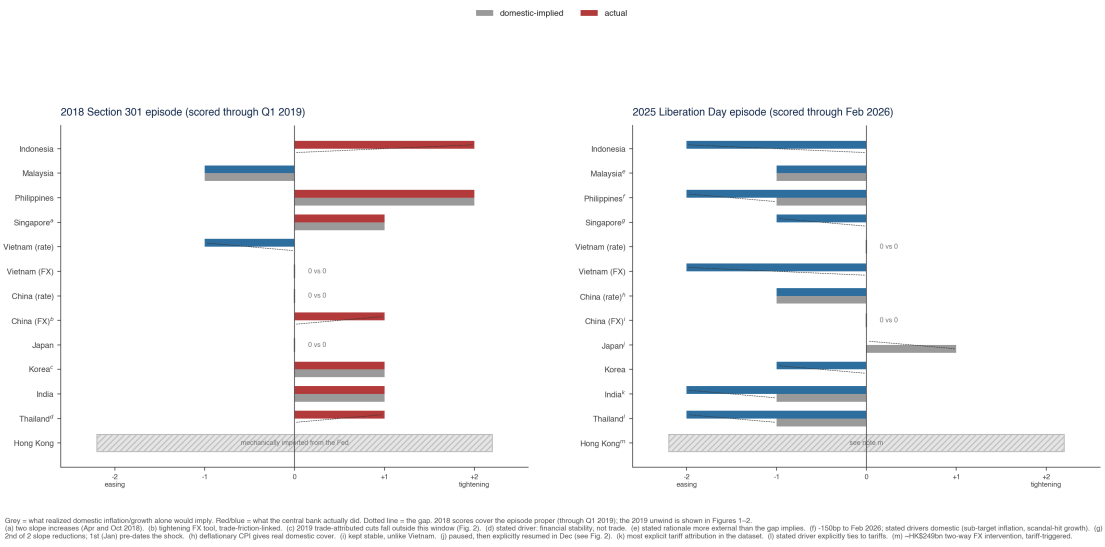


Figure 2: Actual policy paths aligned in event time, measured in months since tariffs took effect. Source. Authors' tariff response comparison note.

the exchange rate and trade policy. Fourth, the topic tagged counts are scaled by the length of the economy round, so the index is the share of the assessment devoted to uncertainty about each topic. Fifth, a separate hawk and dove score counts directional policy language in the policy round, with negation handled, and the difference between the hawkish and dovish counts is our stance measure, which we call HD.

4.2 The trade topic

Because the trade index will receive the most scrutiny, we build it for precision rather than recall. Only trade policy terms enter the topic list. These include tariffs, trade friction, trade tensions, trade war, protectionism, trade policy, trade negotiations, export controls, decoupling, supply chains, and the World Trade Organization. Words that describe trade activity, such as exports and external trade, are deliberately assigned to the real economy topic. This design choice means the trade PMU cannot be inflated by ordinary discussion of an export slowdown. We also learned from the data that the word tariff is polysemous in Commonwealth English, where electricity tariffs are administered prices, so utility tariffs are excluded in the affected corpora. Figure 4 displays the uncertainty dictionary and the trade topic terms with sizes proportional to their



Grey = what realized domestic inflation/growth alone would imply. Red/blue = what the central bank actually did. Dotted line = the gap. 2018 scores cover the episode proper (through Q1 2019); the 2019 unwind is shown in Figures 1–2.
(a) two slope increases (Apr and Oct 2018). (b) tightening FX tool, trade-friction-linked. (c) 2019 trade-attributed cuts fall outside this window (Fig. 2). (d) stated driver: financial stability, not trade. (e) stated rationale more external than the gap implies. (f) -150bp to Feb 2026; stated drivers domestic (sub-target inflation, scandal-hit growth). (g) 2nd of 2 slope reductions; 1st (Jan) pre-dates the shock. (h) deflationary CPI gives real domestic cover. (i) kept stable, unlike Vietnam. (j) paused, then explicitly resumed in Dec (see Fig. 2). (k) most explicit tariff attribution in the dataset. (l) stated driver explicitly ties to tariffs. (m) –HK$249bn two-way FX intervention, tariff-triggered.

Figure 3: Domestic implied stance versus actual stance by episode. The gap is the response plausibly attributable to the trade shock. Source. Authors' tariff response comparison note.

frequency in our corpora.

4.3 Chinese adaptation

The People's Bank of China publishes its flagship quarterly reports in Chinese, so we translated the dictionary functionally rather than word for word, mapping each concept to how the Bank's own prose expresses it. The core terms are the standard Chinese words for risk and uncertainty together with the fixed official pairing of unstable and uncertain factors. Lexicalized negated confidence expressions play the role of the negation only terms in the original dictionary. Several deliberate exclusions matter. The bare modal for possibility is so frequent in Chinese that including it would turn the index into a count of a grammar word, so only the noun form is kept. Words for pressure, challenges, and shocks are excluded, mirroring terms the original authors struck from their own lists. Phrases that name policy tasks and campaigns, such as risk management services and the de-risking campaign slogans, are consumed before counting because they describe assigned work rather than perceived uncertainty, and titles of regulations are stripped so that risk words inside document names do not count. Trade activity words again stay in the economy topic, and helpfully the utility tariff problem does not exist in Chinese because electricity prices use a different word entirely. Counting is done by substring matching with longest match consumption, which requires no word segmentation, and denominators are character counts, so Chinese levels are comparable only within China over time. Full glosses for every term appear in the replication code.

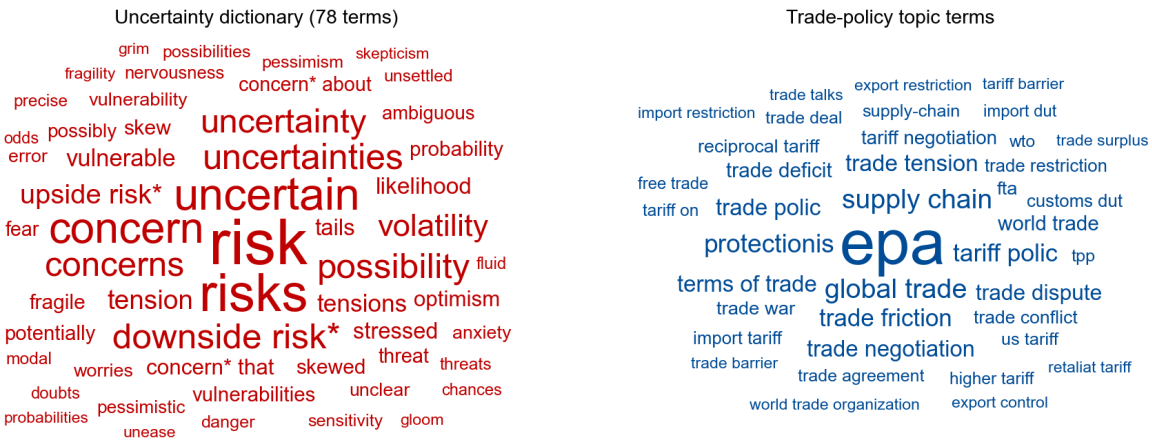


Figure 4: The dictionary at a glance. The left panel shows the seventy-eight term uncertainty dictionary of Cieslak et al. (2024) with sizes proportional to frequency in our minutes corpora. The right panel shows the trade policy topic terms. An uncertainty word counts toward trade PMU only when its sentence contains one of the trade policy terms. Sources. Cieslak et al. (2024) appendix and authors' extensions.

Table 1: The ten corpora.

Document class	Economies (documents)	Span
Deliberative minutes	Japan (217), Korea (161), Thailand (115), India (60)	2006–2026
Institutional summary	Philippines (211)	2002–2026
Statements and staff reports	Indonesia (187), Malaysia (141), China (101), Singapore (63)	2001–2026
Deliberation without stance	Hong Kong (125)	1999–2026

5 Data and Validation

5.1 The corpora

We assemble 1,381 documents from ten monetary authorities. Table 1 summarizes the collection. Four institutions publish genuine deliberative minutes. The Bank of Japan provides full minutes with anonymous member exchanges. The Bank of Thailand publishes edited committee minutes with vote splits. The Bank of Korea publishes anonymized member by member opinions. The Reserve Bank of India is unique in the sample because each set of minutes contains six named and signed member statements, which makes member level analysis possible. The Bangko Sentral ng Pilipinas publishes an institutional summary of its Monetary Board discussions. Bank Indonesia, Bank Negara Malaysia, the Monetary Authority of Singapore, and the People's Bank of China publish statements or staff reports without deliberation. The Hong Kong Monetary Authority publishes records of discussion of its Currency Board Sub-Committee, which are genuine collective deliberation, but a currency board has no discretionary stance, so Hong Kong enters the panel as a control jurisdiction for which only the uncertainty indices exist.

The documents differ in richness as well as in kind, and Appendix Table 5 reports measured quality metrics for every corpus, covering member voice, votes, dissent language, and the length of each round. Because of these differences, no level of any index is ever compared across countries in this paper. Every cross country exercise uses series standardized within country.

5.2 Validation

The indices are only useful if they track reality, so we validate them against the policy record in four ways. First, we compute the mean stance score inside more than fifty known policy phases across the nine rate setting banks, such as hiking cycles and easing cycles, and the sign is correct in roughly 95 percent of them. In Japan the hawk and dove curves cross almost exactly at the March 2024 exit from negative rates and yield curve control. In Thailand and the Philippines every phase in the sample carries the correct sign. Second, stance scores at meetings with known actions separate cleanly everywhere. In Malaysia, for example, the average score is $+1.1$ at hike meetings and -3.9 at cut meetings. Third, we audited every major uncertainty peak at the sentence level and each one decomposes into a recognizable episode, including the Lehman quarter, the taper tantrum, a special Philippine meeting held on the eve of the Iraq war, and the Korean won at 1,440 per dollar. Fourth, for China we ran a stance label audit. The official tight stance label appears only in the 2007 to 2008 reports, and the moderately loose label appears in 2009 to 2010 and then again in 2025 to 2026, which matches the official stance calendar exactly, including the December 2024 restoration. The full country by country validation record, with figures, appears in Appendix B.

6 Results

6.1 Trade policy uncertainty is a twin wave in all ten jurisdictions

Figure 5 plots the trade PMU for all ten jurisdictions, standardized within country. The picture is strikingly uniform in timing and strikingly different in nothing else. In every corpus, in two languages, and across three document classes, trade policy uncertainty is near zero for most of the sample and rises in two waves that coincide with the 2018 to 2019 trade war and the 2025 to 2026 reciprocal tariff episode. The uniformity of timing is itself a validation, since the ten pipelines share only the method, not the documents.

6.2 Who became most uncertain

Figure 6 ranks the ten jurisdictions by the average standardized trade PMU inside the two episode windows. The Philippines tops the ranking, followed by Hong Kong, Japan, and China. Two features deserve emphasis. Every country's calm period average is negative, so both episodes lifted everyone. And the intensity rotated between waves. Singapore and India registered far

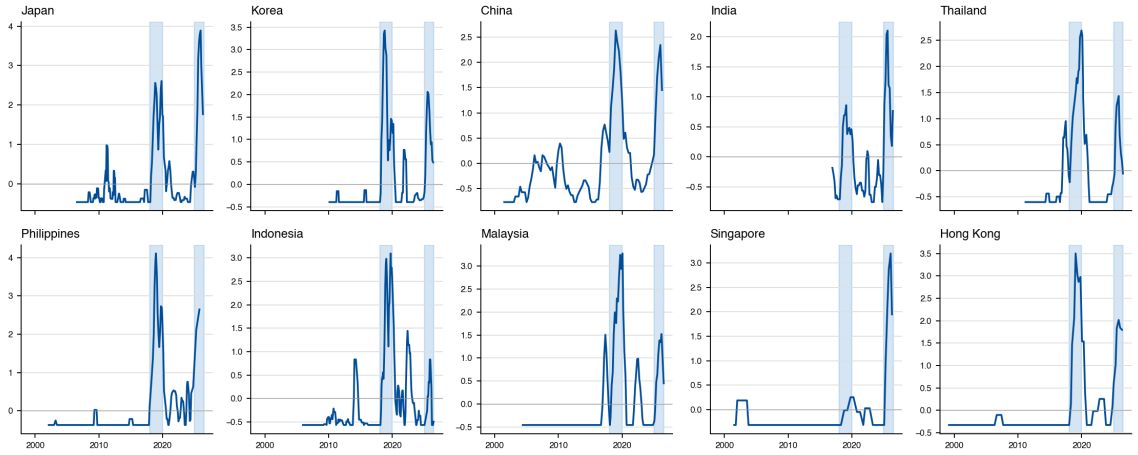


Figure 5: Trade policy uncertainty in central bank communication. Each panel shows the trade PMU standardized within country as a four observation moving average. Shaded bands mark the 2018 to 2019 and 2025 to 2026 tariff episodes. Sources. National central bank publications and authors' calculations.

more trade uncertainty in 2025 to 2026 than in 2018 to 2019, while Indonesia shows the reverse pattern, partly reflecting the broken coverage of its early 2025 reports that we document in the appendix.

6.3 The same shock, opposite responses

Figure 7 contains the core finding of the paper. Each panel plots the episode mean of trade uncertainty against the episode mean of the stance score, both standardized within country. In the 2018 to 2019 episode the responses cluster near zero with a mild dovish tilt. In the 2025 to 2026 episode the dispersion explodes. Japan's stance language averages almost two standard deviations hawkish while it raised rates through the tariff episode. The Philippines sits more than two standard deviations dovish, and India, Korea, Thailand, and China all ease. Hong Kong appears only on the horizontal axis because no stance exists under its currency board. The same shock produced opposite monetary responses, which is precisely the heterogeneity the project set out to document. The Japanese exception has a natural reading. After decades of deflation, Japan finally faced an inflation it wished to contain, so a shock that reads as a downside demand risk in Bangkok or Manila reads in Tokyo as one more disturbance along a normalization path it did not want to abandon.

6.4 The inflation uncertainty channel follows the framework

Our final result speaks to the mechanism in Cieslak et al. (2024). For each rate setting bank we regress the stance score on the standardized topic uncertainty indices with Newey and West standard errors. Table 2 reports the inflation coefficient. The channel that the original paper

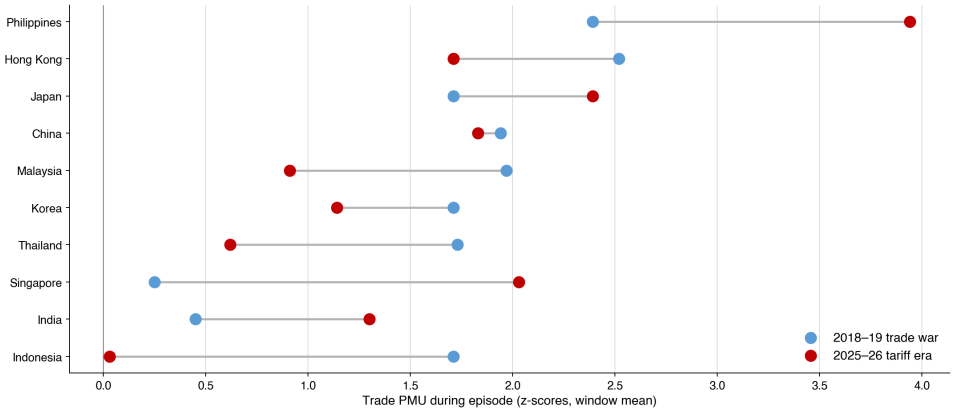


Figure 6: Trade uncertainty intensity by episode. Countries are ranked by the average of the two episode window means of the standardized trade PMU. Sources. National central bank publications and authors' calculations.

Table 2: The inflation uncertainty channel across frameworks. Each row reports the coefficient on standardized inflation PMU in a regression of the stance score on all topic PMU indices for that country, with Newey and West standard errors. Stars denote significance at the ten, five, and one percent levels.

Economy	Inflation PMU coefficient	Framework
China	+0.30***	price stability mandate
Thailand	+0.29**	inflation targeting
Korea	+0.27**	inflation targeting
Indonesia	+0.27***	inflation targeting
Philippines	+0.22**	inflation targeting
India	+0.23	inflation targeting, short sample
Singapore	+0.25	exchange rate instrument
Japan	+0.05	deflation era sample
Malaysia	+0.03	no inflation target

documents for the Federal Reserve, in which higher inflation uncertainty predicts a more hawkish stance, is significant in Thailand, Korea, Indonesia, the Philippines, and China, and each of these operates an inflation target or a strong price stability mandate. The channel is absent exactly where theory would not expect it. Malaysia has no formal inflation target and shows a coefficient of essentially zero. Japan spent most of the sample in deflation and shows a null. India's sample is short because its committee only began in 2016, and Singapore's instrument is the exchange rate. Two companion results reinforce the interpretation. Trade uncertainty reads dovish across the emerging markets and significantly so in India, and exchange rate uncertainty reads hawkish where currency defense binds, which in our sample means India and Malaysia.

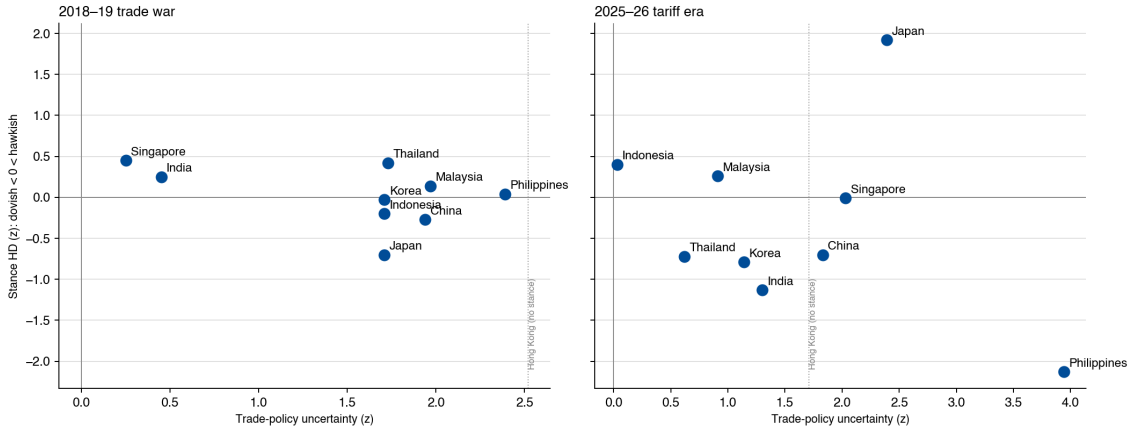


Figure 7: Heterogeneous policy responses to trade disruptions. Each panel plots the episode window mean of the standardized trade PMU against the episode window mean of the standardized stance score. Hong Kong is shown on the horizontal axis only because no policy stance exists under the currency board. Sources. National central bank publications and authors' calculations.

6.5 A country illustration

Thailand illustrates how the pieces fit together in a single country. Its edited minutes separate the economic assessment from the policy discussion, which allows the cleanest replication of the original design. All seven of its policy phases carry the correct stance sign, and the known hikes and cuts separate at $+1.07$ against -1.30. Its trade PMU is essentially zero until 2016, stirs at the February 2017 meeting that discusses the trade policy of the new United States administration, and peaks in September 2019 at a meeting whose minutes describe the rate cut as an insurance against international trade tensions. That sentence is the mechanism of this paper stated in the central bank's own words. In April 2025, four weeks after Thailand faced a thirty-six percent reciprocal tariff announcement, the committee cut again at the meeting with the third highest trade PMU in its history. The full Thai record, along with the parallel record for every other country, appears in Appendix B.

7 Policy Maker Topic Interconnectedness

The motivation section argued that the same tariff episode can arrive as a demand shock in one economy, a cost shock in another, and a financial shock in a third. The topic structure of the PMU lets us test that claim inside the policymakers' own risk maps. For each country we regress each of the four core topic uncertainties on the trade PMU, with both series standardized within country and Newey and West standard errors. The coefficient answers a simple question. When a central bank becomes more uncertain about trade policy, which of its other uncertainties rises with it? We stress that these are contemporaneous co-movements rather than causal estimates,

Table 3: Topic interconnectedness. Each cell reports the coefficient from a regression of the column topic PMU on the trade PMU for that country, with both series standardized within country and Newey and West standard errors. Stars denote significance at the ten, five, and one percent levels.

Economy	Inflation	Real economy	Markets	Exchange rate
Korea	$+0.31^{***}$	$+0.25^{***}$	$+0.35^{***}$	$+0.26^{***}$
India	$+0.45^{**}$	$+0.00$	$+0.38^{**}$	$+0.22$
Philippines	$+0.38^{***}$	$+0.28$	$+0.04$	$+0.00$
China	-0.06	$+0.30^{***}$	$+0.30^{***}$	$+0.09$
Singapore	$+0.09$	$+0.11$	$+0.50^{***}$	-0.05
Japan	$+0.13$	$+0.13^{*}$	$+0.03$	$+0.11$
Indonesia	$+0.05$	$+0.10$	$+0.09$	$+0.13^{*}$
Malaysia	-0.11	$+0.03$	$+0.18$	$+0.05$
Thailand	-0.19^{**}	-0.11	$+0.06$	$+0.07$
Hong Kong	$+0.07$	$+0.05$	$+0.17$	-0.20^{*}

and we read them as transmission fingerprints. The baseline specification is

$$z^{k}_{c,t} \;=\; \alpha^{k}_{c} \;+\; \beta^{k}_{c}\, z^{trade}_{c,t} \;+\; \varepsilon^{k}_{c,t}, \qquad k \in \{\text{inflation},\ \text{economy},\ \text{markets},\ \text{fx}\}, \tag{1}$$

where $z^{k}_{c,t}$ is the topic k PMU of country c at observation t and $z^{trade}_{c,t}$ is the trade PMU, both standardized within country so that β^{k}_{c} is a correlation-scaled loading. The equation is estimated separately for each country at its own document frequency, and standard errors are heteroskedasticity and autocorrelation consistent in the manner of Newey and West, with lag lengths of eight for the high frequency corpora, four for the mid frequency corpora, and two for the semiannual corpus.

Table 3 shows that the fingerprints differ across the region in ways that match economic structure. Korea is the broadband case. Trade uncertainty there co-moves significantly with every other topic, which fits the most trade-integrated manufacturing economy in the sample, where a tariff shock is simultaneously a demand event, a price event, a market event, and a won event. The Philippines and India are cost-channel economies. In both, trade uncertainty loads most heavily on inflation uncertainty, with coefficients of 0.38 and 0.45, which fits import-dependent economies where tariffs and supply disruptions threaten food and fuel prices. China and Singapore read trade shocks through growth and finance. In China the significant loadings are on the real economy and on markets, while inflation does not move, and in Singapore the loading is on markets alone, which fits a financial entrepôt whose statements treat tariff news mainly as a global market event.

Two entries carry negative signs, and both are informative. In Thailand, higher trade uncertainty comes with significantly lower inflation uncertainty. The Thai committee read the tariff shocks as disinflationary demand drags, which is exactly the reading under which its 2019 and 2025 rate cuts were insurance rather than accommodation of price pressure. In Hong

Table 4: Changes in the transmission fingerprints in the 2025 to 2026 episode. Each row reports equation (2) for one country and topic. Only cells with a significant interaction are shown. Stars denote significance at the ten, five, and one percent levels.

Economy	Topic	β_1	β_2 (2025 shift)
Philippines	Inflation	+0.40	$+0.38^{***}$
Philippines	Real economy	+0.36	-0.64^{***}
Philippines	Exchange rate	+0.01	$+0.26^{***}$
Singapore	Markets	−0.24	$+1.01^{***}$
Thailand	Real economy	−0.14	$+0.33^{**}$
Hong Kong	Markets	+0.24	$+0.46^{***}$
Indonesia	Real economy	+0.09	$+0.21^{*}$
Indonesia	Exchange rate	+0.11	$+0.32^{*}$
Japan	Real economy	+0.19	-0.24^{**}
Japan	Exchange rate	+0.19	-0.33^{***}
Korea	Real economy	+0.33	-0.23^{***}
China	Inflation	−0.03	-0.36^{**}
China	Real economy	+0.33	-0.43^{**}
China	Markets	+0.30	-0.28^{*}

Kong, higher trade uncertainty comes with lower exchange rate uncertainty, which restates the credibility result from the appendix. When the currency board is stressed by external events, its communication about the peg becomes calmer, not more anxious.

The remaining economies show muted fingerprints. Japan carries only a weak demand loading, Indonesia a weak exchange rate loading, and Malaysia none that is significant, which is consistent with communication that stays domestically focused even when trade uncertainty rises. Read together with the stance results, the table completes the heterogeneity story. The countries where trade uncertainty travels into inflation uncertainty faced a genuine policy dilemma, since the cost channel argues for caution while the demand channel argues for easing, and the countries where it travels into growth and markets faced a simpler dovish case. The dispersion of responses in Figure 7 is what those different risk maps produced.

7.1 Did the fingerprints change between the two waves?

A natural further question is whether each country's transmission map was stable across the two tariff episodes. We therefore extend equation (1) with an interaction,

$$z^{k}_{c,t} \;=\; \alpha \;+\; \beta_1\, z^{trade}_{c,t} \;+\; \beta_2\,(z^{trade}_{c,t} \times D^{2025}_{t}) \;+\; \gamma\, D^{2025}_{t} \;+\; \varepsilon_{c,t}, \tag{2}$$

where D^{2025}_{t} equals one from January 2025 onward. The coefficient β_1 is the loading during the first wave and the calm years, and β_2 is the change in the loading in the reciprocal tariff era. Table 4 reports the cells where β_2 is significant at the ten percent level or better.

The interactions show that the risk maps were not stable. The Philippine fingerprint sharpened into a pure cost channel in 2025, since the inflation loading rose further while the real economy

loading collapsed and an exchange rate channel appeared. Singapore's markets loading roughly doubled, so the 2025 tariffs were read there almost entirely as a market event. In Thailand a real economy channel emerged in the second wave, which fits the demand shock reading behind its cuts. The most striking rows belong to Japan and China, where the loadings fell. In Japan the demand and yen channels switched off in 2025, which is consistent with a central bank that no longer viewed trade uncertainty as a reason to delay its normalization. In China every significant loading declined, so trade uncertainty in the 2025 reports moved increasingly on its own rather than dragging growth, market, and price uncertainty with it, a pattern consistent with communication that compartmentalizes the trade conflict. Read this way, the second wave did not just raise trade uncertainty everywhere. It also reorganized what that uncertainty meant to each central bank, and the reorganization points in the same directions as the stance responses in Figure 7.

8 Caveats

Four caveats bound what these indices can support, and we state them plainly. First, the corpora span three document classes, and levels are not comparable across classes. All pooled work must use within country standardization or document class effects. Second, communication is not deliberation for the statement based banks. The indices for Indonesia, Malaysia, Singapore, and China measure the uncertainty and stance those institutions chose to communicate. The People's Bank of China in 2017 provides a concrete warning, since it raised operational rates while describing the moves as following the market, so its communicated stance and its actual stance diverged by design. For China we also note that the language of official reports is politically mediated, which makes the timing and variation of the indices more credible than their composition between domestic and external topics. Third, the corpora have measured quality differences, which we summarize in an ordering that runs from the Bank of Japan at the top, through Thailand, India, Korea, Indonesia, the Philippines, and down to Singapore and Malaysia, with Hong Kong outside the ordering because it has no stance dimension. Only India supports member level analysis. Fourth, there are known coverage holes, including the absence of Indonesian reports for 2007 and for several months around the April 2025 tariff announcement, the thinning of Philippine highlights after 2023, and the loss of the economy section from Korean English minutes after April 2023. Appendix A documents all of these.

9 Conclusion

We set out to document how heterogeneously Asian central banks respond to trade disruptions, and the answer written in their own words is that the heterogeneity is large and grew between the two tariff waves. Trade policy uncertainty surged everywhere both times. In the first wave the region answered with a broadly shared easing drift. In the second wave the answers split, with

Japan tightening through the shock while most of emerging Asia eased, several members by more than their domestic conditions implied. The uncertainty channel that disciplines these readings behaves sensibly, since inflation uncertainty pushes stance in the hawkish direction exactly in the economies that target inflation, and trade uncertainty pushes the emerging markets the other way.

The next steps follow naturally. Event window regressions around identified tariff news days can sharpen the timing. Linking uncertainty spikes to the subsequent decision can turn the stylized facts into reaction function estimates. India's named member statements allow the member level analysis of Cieslak et al. (2024) to be replicated in public data for the first time. And the remaining measurement refinements, including a Chinese embedding based dictionary and the extension of the Japanese sample back to 1998, are mechanical. The descriptive record, however, is already clear. When trade policy becomes uncertain, every central bank in Asia says so, and what they do next depends on who they are.

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A Document Quality Across the Ten Corpora

Table 5: Measured quality metrics. Member voice reports the share of documents containing anonymous member phrases with the density per thousand words in parentheses. China lengths are character counts and are not comparable to word counts.

	Member voice	Named statements	Votes	Dissent	Econ round	Policy round
Japan	100% (5.1)	5%	100%	42%	4,457 w	1,301 w
Thailand	61% (0.6)	1%	90%	0%	966 w	558 w
Philippines	6% (0.1)	1%	16%	0%	1,492 w	405 w
India	3%	100%	100%	25%	1,390 w	4,922 w
Korea	100% (15.1)	0%	5%	9%	395 w	2,309 w
Singapore	0%	0%	0%	0%	579 w	185 w
Indonesia	1%	1%	2%	0%	5,666 w	682 w
Malaysia	0%	0%	0%	0%	304 w	67 w
Hong Kong	0% (collective 12.8)	0%	0%	0%	535 w	none
China	0%	0%	0%	0%	28,091 ch	7,136 ch

Known coverage caveats by country. Japanese PDF minutes begin in mid 2006, with earlier meetings available only as web pages. Philippine highlights become sparse after 2023 and the 2026 format drops the economic developments section. Korean English minutes become excerpts without an economy section from April 2023, and the full minutes exist only in Korean. Indonesian coverage is missing for 2007 and for several early 2025 reports with broken text layers, and a 2013 to 2015 subset consists of short bilingual statements. Malaysian statements are the shortest documents in the panel. Chinese reports are quarterly and politically mediated, as discussed in the main text.

B Country by Country Records

Each figure pair below shows the hawk and dove stance record and the trade PMU for one jurisdiction, with policy events and tariff events marked. Complete peak decompositions with verbatim sentences are available in the replication package for every country.

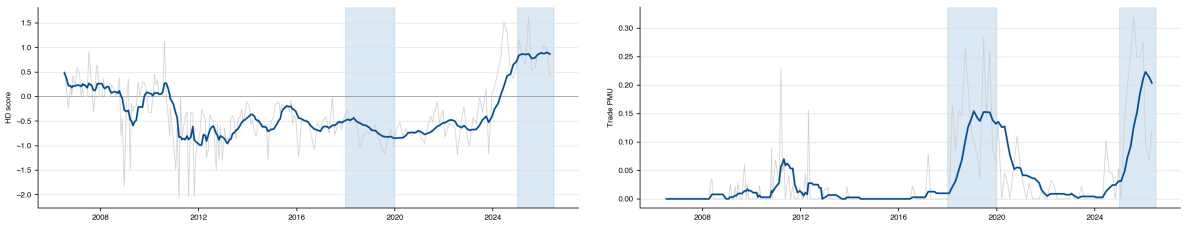


Figure 8: Japan. The left panel shows the hawk and dove stance score and the right panel shows the trade policy uncertainty index, each as the raw series with a moving average, with the two tariff episodes shaded. Sources. National central bank publications and authors' calculations.

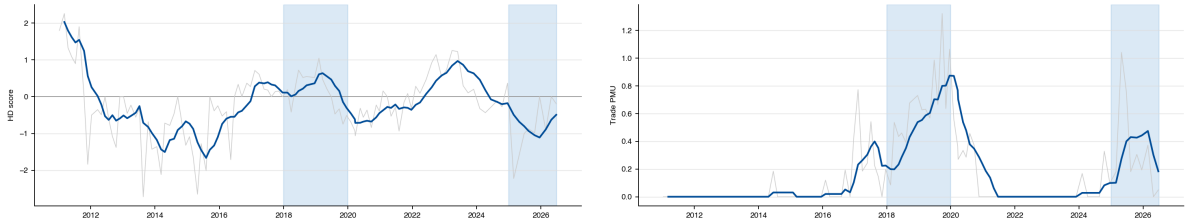


Figure 9: Thailand. The left panel shows the hawk and dove stance score and the right panel shows the trade policy uncertainty index, each as the raw series with a moving average, with the two tariff episodes shaded. Sources. National central bank publications and authors' calculations.

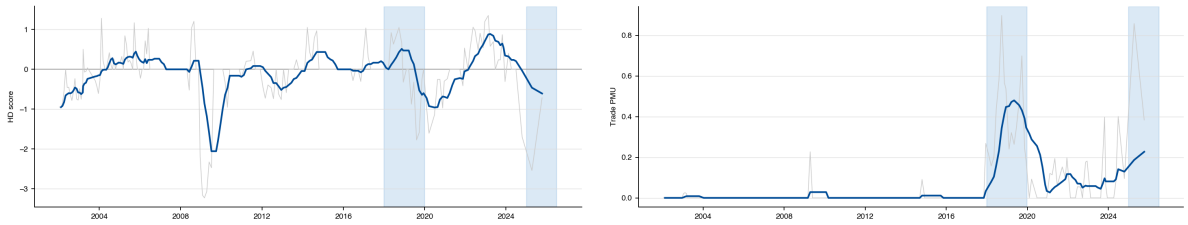


Figure 10: Philippines. The left panel shows the hawk and dove stance score and the right panel shows the trade policy uncertainty index, each as the raw series with a moving average, with the two tariff episodes shaded. Sources. National central bank publications and authors' calculations.

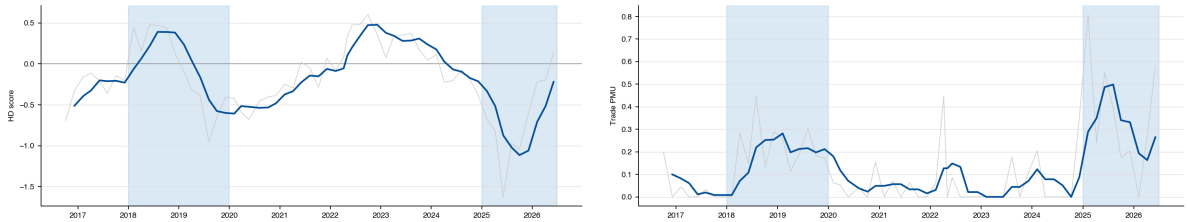


Figure 11: India. The left panel shows the hawk and dove stance score and the right panel shows the trade policy uncertainty index, each as the raw series with a moving average, with the two tariff episodes shaded. Sources. National central bank publications and authors' calculations.

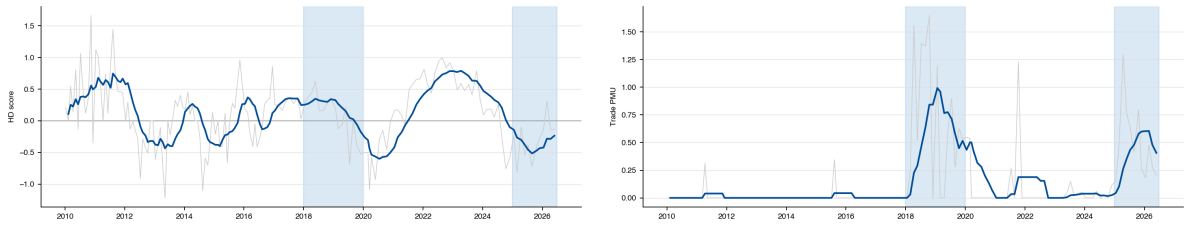


Figure 12: Korea. The left panel shows the hawk and dove stance score and the right panel shows the trade policy uncertainty index, each as the raw series with a moving average, with the two tariff episodes shaded. Sources. National central bank publications and authors' calculations.

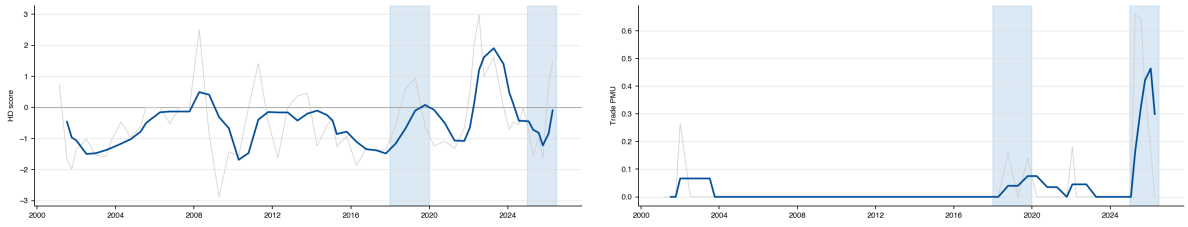


Figure 13: Singapore. The left panel shows the hawk and dove stance score and the right panel shows the trade policy uncertainty index, each as the raw series with a moving average, with the two tariff episodes shaded. Sources. National central bank publications and authors' calculations.

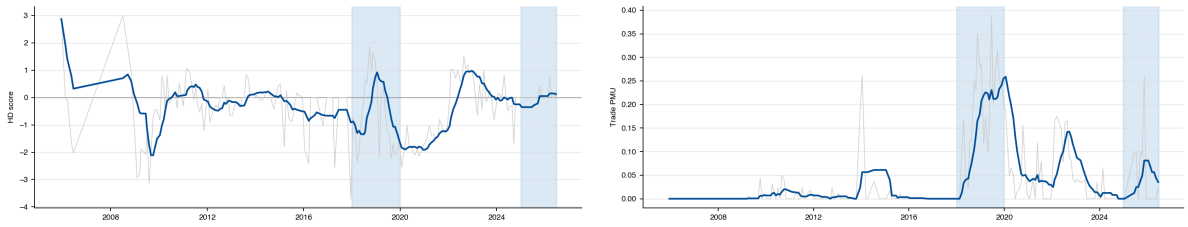


Figure 14: Indonesia. The left panel shows the hawk and dove stance score and the right panel shows the trade policy uncertainty index, each as the raw series with a moving average, with the two tariff episodes shaded. Sources. National central bank publications and authors' calculations.

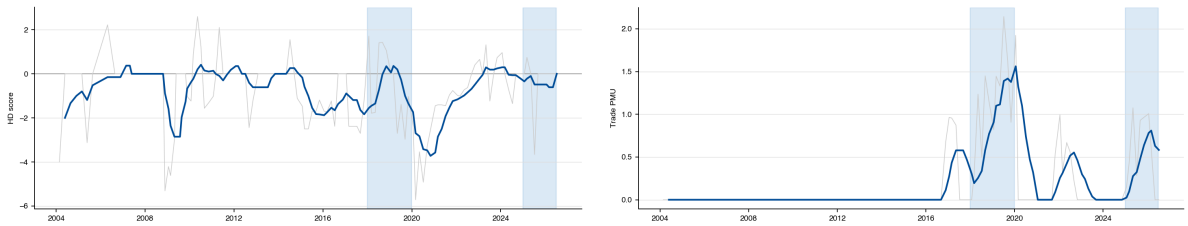


Figure 15: Malaysia. The left panel shows the hawk and dove stance score and the right panel shows the trade policy uncertainty index, each as the raw series with a moving average, with the two tariff episodes shaded. Sources. National central bank publications and authors' calculations.

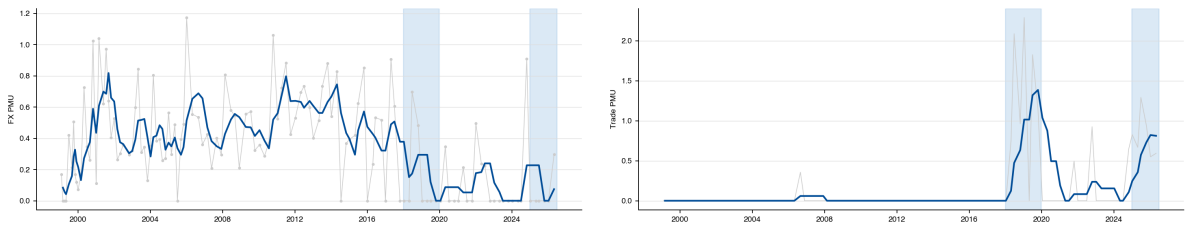


Figure 16: Hong Kong. The left panel shows the exchange rate PMU with the tariff episodes shaded and the right panel shows the trade policy uncertainty index. Under the credible currency board, modern defense episodes read calm in exchange rate terms while uncertainty attaches to trade and markets, so the exchange rate uncertainty language behaves as a credibility barometer rather than a stress barometer.

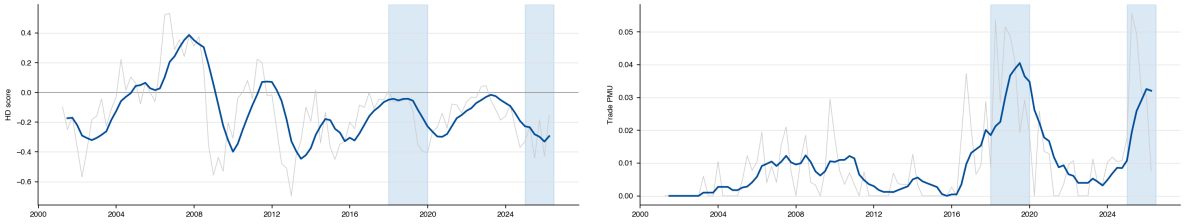


Figure 17: China. The left panel shows the hawk and dove stance score and the right panel shows the trade policy uncertainty index, each as the raw series with a moving average, with the two tariff episodes shaded. Sources. National central bank publications and authors' calculations.